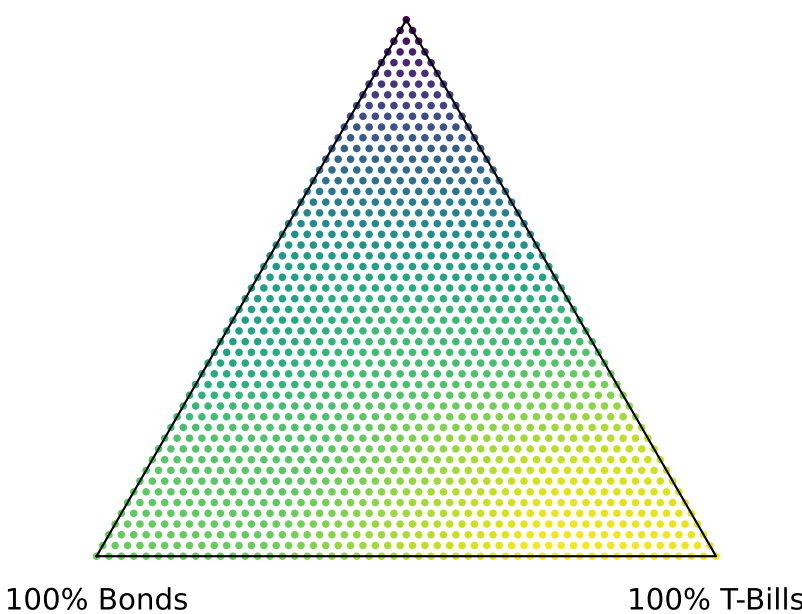
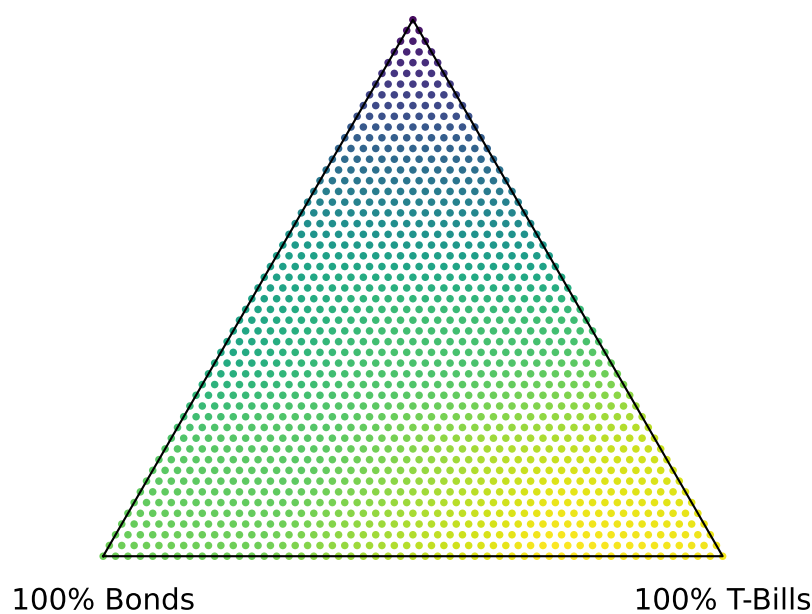


q02 Annualized Return Before and After Convex Smoothing: Since 1927
Convex Gaussian smoothing with sqrt-horizon bandwidth=0.17, portfolio bandwidth=0.01; raw h

Before smoothing, 1 years
100% Stocks



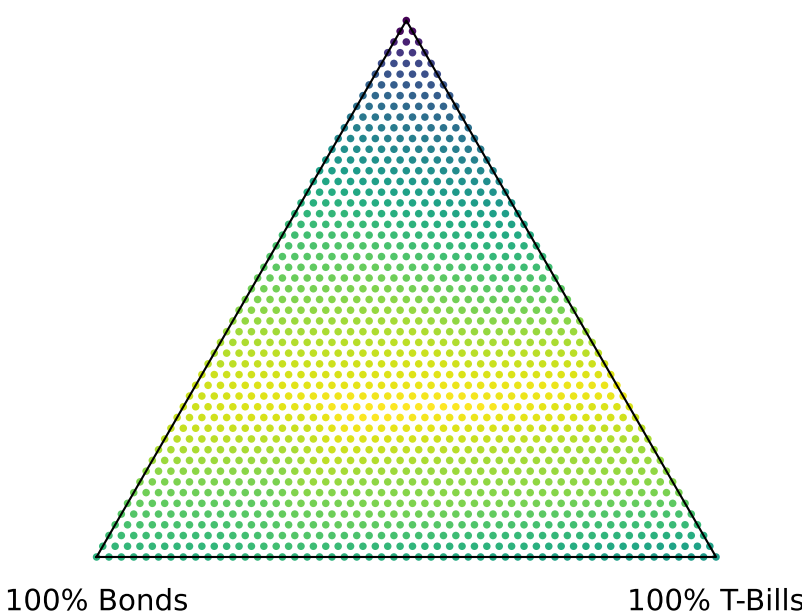
After smoothing, 1 years
100% Stocks



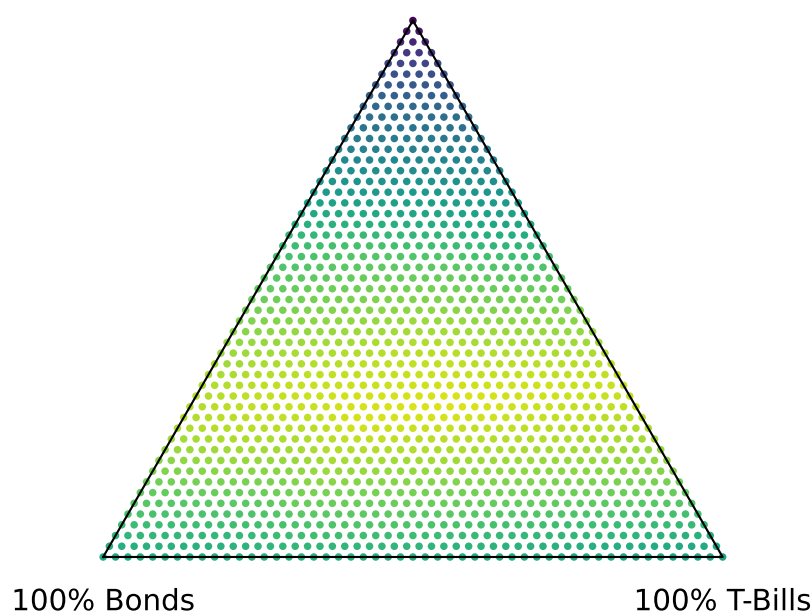
Annualized gross return

0.90
0.85
0.80
0.75
0.70
0.65

Before smoothing, 5 years
100% Stocks



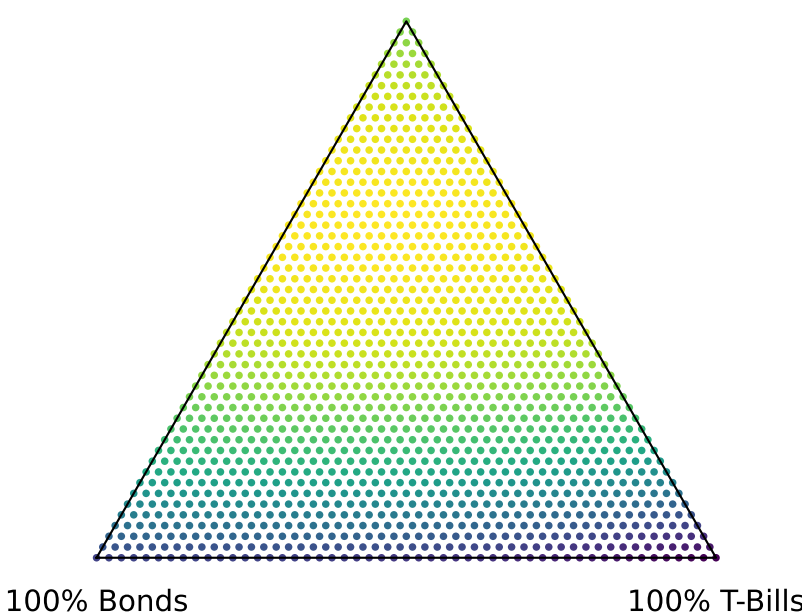
After smoothing, 5 years
100% Stocks



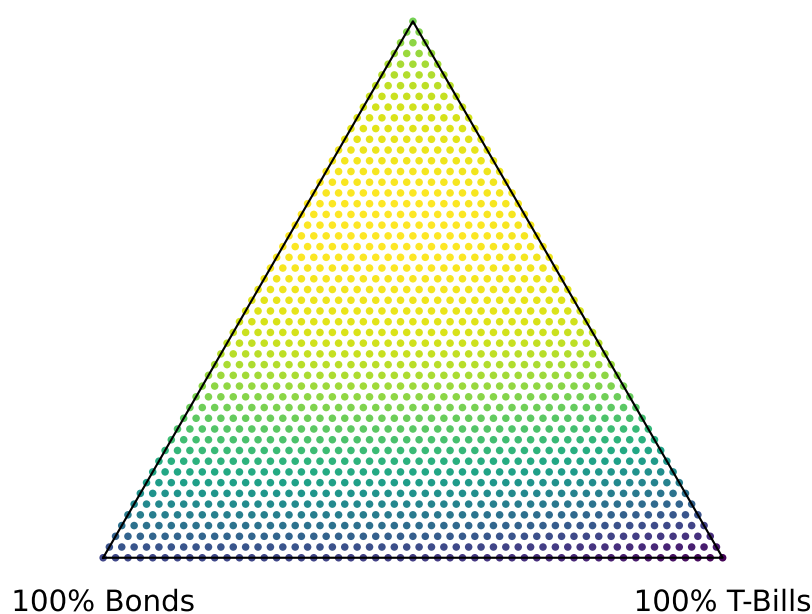
Annualized gross return

0.97
0.96
0.95
0.94
0.93
0.92
0.91

Before smoothing, 20 years
100% Stocks



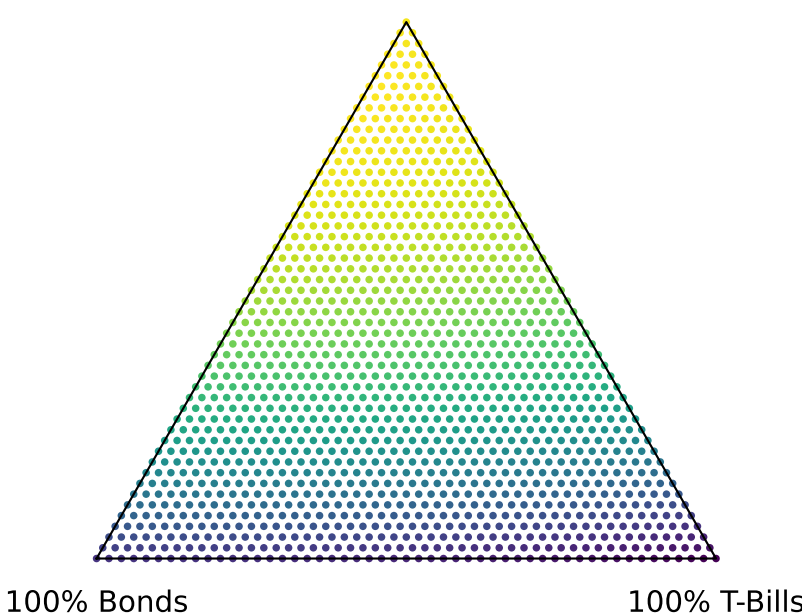
After smoothing, 20 years
100% Stocks



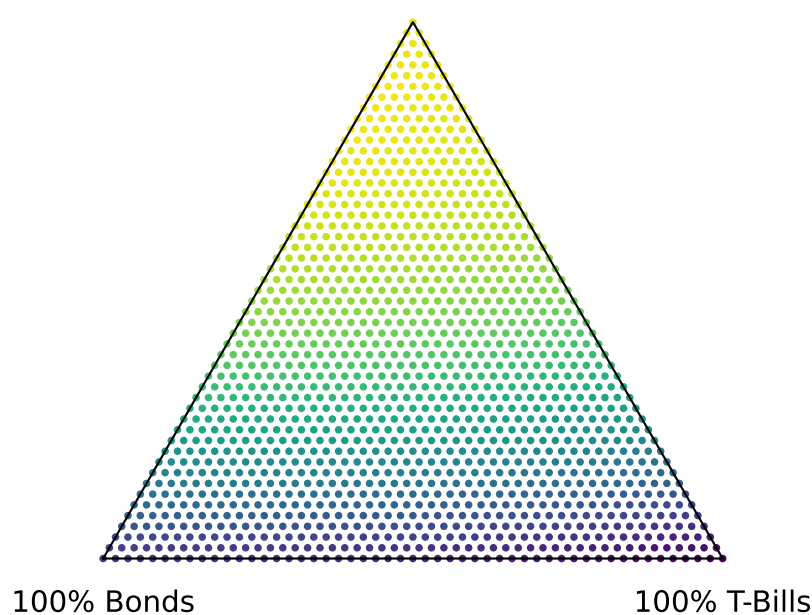
Annals of the
American
Psychological
Association
1950

1.00
0.99
0.99
0.98
0.98
0.97

Before smoothing, 50 years
100% Stocks



After smoothing, 50 years
100% Stocks



Annularized cross section

1.02
1.02
1.01
1.01
1.00
1.00
0.99
0.99